

17. (1.5 points)

Consider this statement:

Primary insurer loss reserving is more straightforward than reinsurance loss reserving because (1) claim report lags to reinsurers are generally longer, and (2) claims reporting patterns differ greatly by reinsurance line and type of contract.

a. (0.5 point)

Identify two other technical problems with reinsurance reserving that support the above statement.

b. (1 point)

Briefly describe two underlying causes of each technical problem identified in part a. above.

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EXAM 7 SPRING 2016 SAMPLE ANSWERS AND EXAMINER'S REPORT

QUESTION 17	
TOTAL POINT VALUE: 1.5	LEARNING OBJECTIVE: A11: Compare and contrast reinsurance and primary reserving procedures.
SAMPLE ANSWERS	
Part a: 0.5 point	
<i>Sample Answer 1</i> 1. There is persistent upward development of claims 2. IT Systems & Data coding issues <i>Sample Answer 2</i> 1. Reinsurance reserves exhibit persistent upward development 2. Industry reinsurance data may not be useful due to heterogeneity	
Part b: 1 point	
<i>Sample Answer 1</i> 1. Primary insurers have a tendency to under-reserve for ALAE & to set claims case reserves to a modal value Trend has a greater impact on excess losses 2. Systems are not updated quickly enough to keep up with changing needs The heterogeneity involved in reinsurance makes data coding more challenging <i>Sample Answer 2</i> 1. Due to under reserving of ALAE, modal reserving by the cedant and increasing inflation 2. For industry data heterogeneity may be caused by aggregation of cedant LOBs into one LOB for reinsurance reporting; also RAA data is only distributed once every two years.	
EXAMINER'S REPORT	
Nearly all responses came from the Patrik paper, but additional responses not explicitly identified in the text were accepted if the candidate provided a solid explanation. The most common reason for candidates to lose credit was if they only provided one support example for each problem identified in part b. Additionally, some candidates lost credit because they provided underlying causes related to the two problems identified in the stem of the question, rather than referring to the answers they provided in part a., as explicitly required. Generally, candidates performed well on this exam question and demonstrated a strong understanding of this learning objective.	
Part a	
Candidates were expected to identify two technical problems with reinsurance reserving related to the scenario presented in the item stem. Candidates generally received full credit for this part.	
Part b	
Candidates were expected to identify causes of the problems identified in part a. Candidates generally performed well, though not quite as well as on part a. They typically could identify one cause for each technical problem, but often struggle to identify a second one.	